## 09 Working capital

0:40



Thank you, Philipp.

So where is the cash tied up? Mostly in inventories. They equal 42.9 per cent of revenue, which is 2.6 times the industry.

Measured in days of revenue, the cash conversion cycle is about 203 days, which is 77 days longer than at Caterpillar. Liebherr holds its stock longer and pays its suppliers faster.

This is the biggest lever that management controls. Ten days less would release about 405 million euro. But this happens only once, so it cannot replace a better margin.

Simon · card 1/4

next: Investment assessment

## 10 Investment assessment

1:05



So what would have to change before an investment makes sense? We check three conditions on the 2026 statements.

• CLICK First, the margin should return to at least its four-year average of 3.9 per cent. In 2025 it was 2.8.

• CLICK Second, free cash flow should be positive and cover the distributions. In 2025 it was minus 176 million euro.

• CLICK Third, the investor needs information rights, for example on the 228 million euro of other costs that nobody can explain.

And 3.9 per cent is only a trigger, not a good return. The return on capital employed was 3.5 per cent before tax, against a benchmark of 7.7 per cent.

Also, a minority stake brings little influence, a low payout and shares that are hard to sell. So meeting the conditions starts a new analysis, not a purchase.

• CLICK – NEXT SLIDE

Simon · card 2/4

next: Conclusion

## 11 Conclusion

0:45



So here is our answer to the central question. Liebherr is financially strong, but operationally challenged.

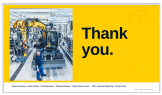
We have three takeaways. First, the balance sheet is strong, and it survives our accounting tests. Second, returns and cash generation are too weak, and the gap to Caterpillar exists in every year. Third, the accounting analysis makes our verdict sharper.

If the margin stays near 2.8 per cent in 2026 and the net financial position turns negative, the investor should drop the case. In one sentence, see the turn in the figures before committing capital.

Simon · card 3/4

next: Thank you

## 12 Thank you




On behalf of the whole team, thank you very much for your attention. We are happy to answer your questions.

**Q&A** Press I for the backup index, every backup slide is one click away. Useful figures for questions. ROCE 2024 was 5.9 % before tax at a 4.6 % margin. The sustainable growth rate is 2.4 %. Personnel expenses were 28.6 % of revenue, against 26.4 % in 2023. Only €56 m of a €272 m profit was distributed in 2025. A deferred tax liability on Caterpillar's LIFO reserve at 21 % would lower its equity ratio only from 24.9 % to 24.2 %.